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Transportation and Warehousing • OD6309

Food Delivery Services in the US

Arriving soon: Rolled-back commission caps let platforms take more from each restaurant order, while courier pay mandates add fees that raise what consumers pay

Thi Le
Published: September 2026

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About

IBISWorld specializes in industry research with coverage on thousands of global industries. Our **comprehensive data and in-depth analysis** help businesses of all types gain quick and actionable insights on industries around the world. Busy professionals can spend less time researching and preparing for meetings, and more time focused on making strategic business decisions.

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About This Industry

Definition

Operators in this industry provide local food delivery services. Enterprises operate separately from the restaurants that they service, acting as a third party between the restaurant and the consumer.

Codes

NAICS

2022	492210 – Local Messengers and Local Delivery
2017	492210 – Local Messengers and Local Delivery

ISIC

2006	5320 – Courier activities

What's Included

- Delivery
- Takeout

Companies

- DoorDash, Inc.
- Wonder Group Inc.
- Uber

Related Industries

Domestic industries

Competitors

- Food Courts & Halls in the US
- Catering Services in the US

Complementors

- Chain Restaurants in the US
- Fast Food Restaurants in the US
- Single Location Full-Service Restaurants in the US

Related Terms

COURIER SERVICE

Delivery service of goods that uses a network of transportation systems, including air and ground transportation.

EXPRESS DELIVERY

A courier service that guarantees quick delivery, mainly next-business-day or two-day service.

FOOD SERVICE

Includes restaurants, catering and fast-food establishments, bars and taverns and other establishments that provide food for guests.

Additional Resources

- The Food Industry Association
- US Census Bureau
- US Bureau of Labor Statistics

At a Glance

Revenue		Employees		Businesses	
$44.3bn	2021-26 ↑ 18.2% 2026-31 ↑ 9.2%	20.7k	2021-26 ↑ 23.2% 2026-31 ↑ 10.5%	47	2021-26 ↑ 24.0% 2026-31 ↑ 7.3%

Profit		Profit Margin		Wages	
$9.0bn	2021-26 ↑ 120.2%	20.2%	2021-26 ↑ 19.3pp	$2.2bn	2021-26 ↑ 1.2% 2026-31 ↑ 10.2%

Five-year growth rates display historic and forecast CAGRs

Major Players

Company	Revenue ($bn)	Market Share (%)
DoorDash, Inc.	14.7	33.2
Wonder Group Inc.	9.1	20.6
Uber	8.8	19.9
Other Companies	11.7	26.4

Products & Services

Item	Revenue ($bn)	Market Share (%)
Delivery	30.8	69.5
Takeout	13.5	30.5

Key External Drivers

Driver	Impact
Internet traffic volume	Positive
Percentage of business conducted online	Positive
Per capita disposable income	Positive
Aggregate private investment	Positive
Urban population	Positive

Key Takeaways

Performance

Lawsuits and lobbying reversed pandemic-era commission caps. San Francisco lifted its limit in exchange for platforms dropping their suit, and New York City's settlement now permits substantial additional service charges per order.

Fee regulation threatens revenue platforms already booked. Connecticut banned surveillance pricing in 2026, and the FTC opened rulemaking on deceptive delivery fees, so all-in pricing would eliminate checkout-stage charges.

Products and Markets

Delivery earns from both sides of every order. Platforms collect a restaurant commission plus consumer delivery and service fees, and that commission runs several times the pickup rate, so each order monetizes far deeper.

Upper-income households anchor platform revenue. They place the largest baskets, add alcohol and premium items, default into subscriptions and barely react to fee increases, since they're buying time rather than access.

SWOT

Strengths	High Profit vs. Sector Average High Revenue per Employee Low Customer Class Concentration
Weaknesses	High Capital Requirements High Product/Service Concentration High Volatility
Opportunities	High Revenue Growth (2021-2026)
Threats	

Industry Structure

Characteristic	Level & Trend
Concentration	Low
Barriers to Entry	Moderate, Increasing
Regulation and Policy	High, Increasing
Life Cycle	Growth
Revenue Volatility	High
Assistance	Low, Increasing
Competition	High, Increasing
Innovation	Moderate

Executive Summary

Arriving soon: Rolled-back commission caps let platforms take more from each restaurant order, while courier pay mandates add fees that raise what consumers pay

Revenue growth over the past five years reflects an evolving regulatory environment that reshaped how platforms charge for their services. Early in the period, commission caps in major cities limited the share that platforms could take from restaurant orders, directly cutting into revenue. Companies offset those losses by adding consumer-side fees in capped jurisdictions, which raised the cost of ordering. Legal action against the caps produced settlements in San Francisco and New York City that restored pricing latitude, permitting higher charges on optional service tiers and letting platforms rebuild revenue through additional consumer-facing fees without regulatory limits constraining them.

Minimum pay laws in large cities cut the other way. Platforms responded with fees to cover higher contributions to contracted couriers, who earned below minimum wage at the start of the period. Those fees raised service prices in markets like Seattle, though order volume risk made these cities harder to operate profitably, so the pass-through didn't fully protect local economies. Developments outside regulation supported performance more cleanly. The declining value of third-party cookies has increased the value of first-party data, and platforms hold trackable purchase histories that advertisers want. Companies launched ad products that lease inventory to brands and offer restaurant placements billed only on clicks, monetizing consumer buying behavior. Fraud mitigation added savings, with real-time card scanning requiring flagged consumers to verify transactions before completion. Commission recovery, advertising valuations and fraud reduction together drove revenue up at an 18.2% CAGR over the five years to 2026, reaching $44.3 billion, including 10.8% growth in 2026.

The outlook rests on three developments. Drone delivery moved from concept to operation through pilot programs, partnerships and in-house certifications, positioning platforms to capture a share of the autonomous fulfillment market. Point-of-sale systems will consolidate into unified formats that connect to multiple delivery services, making vendor partnerships a route to gains in merchant and order volume. Portable benefits accounts, which let couriers carry insurance and healthcare across multiple apps, offer a middle ground that satisfies legislative pressure without reclassifying contractors, and limited pilots are already running in several states. Fee practices present the main risk, as surveillance pricing regulation advances in several states and the FTC weighs federal restrictions. Compliance would require reworking services to eliminate previously profitable fees, with civil penalties for platforms that don't adapt. Revenue is expected to grow at a CAGR of 9.2% over the five years to 2031 to reach $68.8 billion.

Performance

Key Takeaways

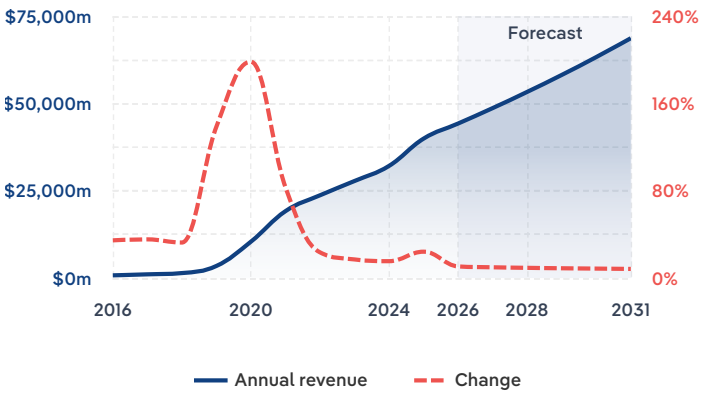
Lawsuits and lobbying reversed pandemic-era commission caps. San Francisco lifted its limit in exchange for platforms dropping their suit, and New York City's settlement now permits substantial additional service charges per order.

Fee regulation threatens revenue platforms already booked. Connecticut banned surveillance pricing in 2026, and the FTC opened rulemaking on deceptive delivery fees, so all-in pricing would eliminate checkout-stage charges.

Performance Snapshot

Revenue

Total value ($) and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Revenue

$44.3bn

2021-26 ↑ 18.2%

2026-31 ↑ 9.2%

2026 Revenue Growth

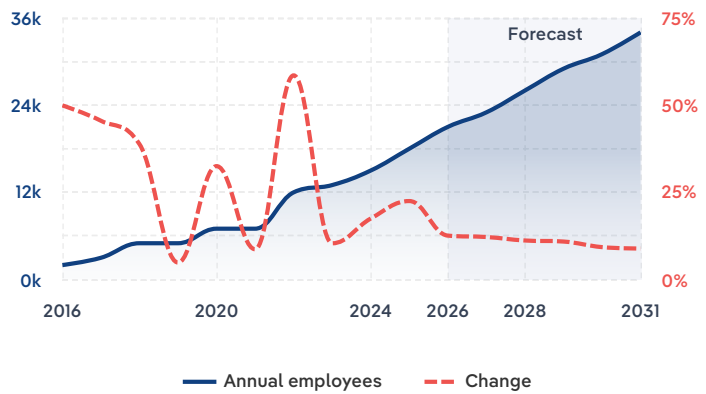
10.8% ↑ Increasing

Revenue Volatility

High

Employees

Total number of employees and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Employees

20.7k

2021-26 ↑ 23.2%

2026-31 ↑ 10.5%

Employees per Business

440

2021-26 ↓ 0.7%

2026-31 ↑ 2.9%

Revenue per Employee

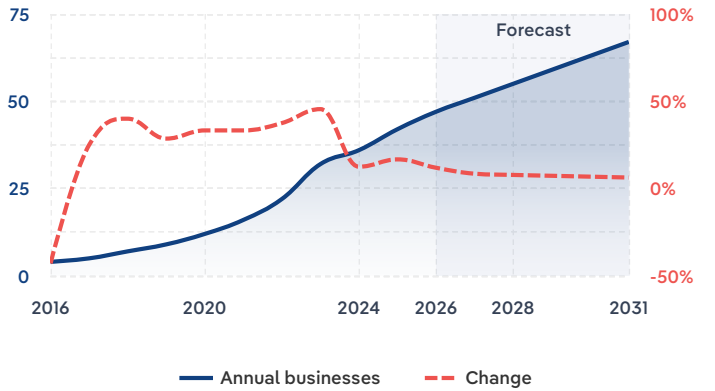
$2.1m

2021-26 ↓ 4.1%

2026-31 ↓ 1.2%

Businesses

Total number of businesses and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Businesses

47

2021-26 ↑ 24.0%

2026-31 ↑ 7.3%

Employees per Business

440

2021-26 ↓ 0.7%

2026-31 ↑ 2.9%

Revenue per Business

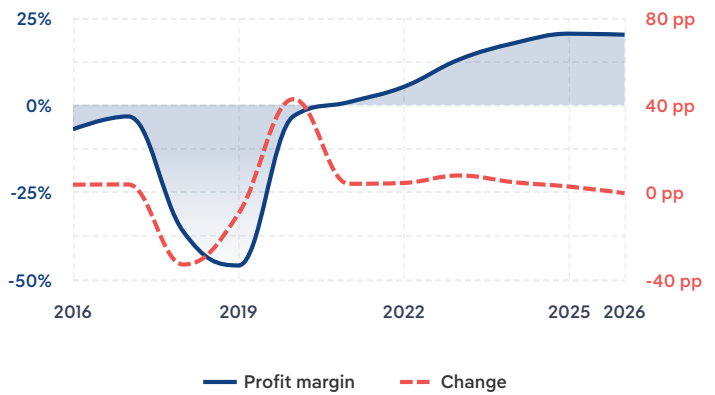
$942.8m

2021-26 ↓ 4.7%

2026-31 ↑ 1.7%

Profit Margin

Total profit margin (%) and annual change from 2016 – 2026



IBISWorld Source: IBISWorld

Total Profit

$9.0bn

2021-26 ↑ 120.2%

Profit Margin

20.2% 2021-26 ↑ 19.3pp

Profit per Business

$190.5m

Current Performance

↑2021-26 Revenue CAGR: 18.2%

What's driving current industry performance?

Litigation and lobbying unwound commission caps, restoring platform pricing power

- Commission rates, the share platforms take from restaurants on each third-party order, start at roughly 15.0% and faced direct regulation during the pandemic. As many as 100 jurisdictions imposed delivery commission caps during closures, spanning metros from New York City to San Francisco and typically limiting the take to 15.0% of order value. Those controls hit revenue directly, since platforms couldn't scale their cut in their largest markets. Grubhub told Quartz it lost close to $100.0 million in 2020 alone as a result.
- Platforms recovered part of that revenue through consumer-side charges. The Data Catalyst Institute warned in 2022 that caps would push fees onto consumers, and NBC reported that DoorDash added supplemental local fees across 57 capped jurisdictions starting in 2021.
- Legal action followed as cities moved to make caps permanent. Grubhub and DoorDash sued San Francisco and New York City over the

economic effects of the limits and lobbied legislators against permanent versions.

- San Francisco reversed course. The Board of Supervisors, which made caps permanent in 2021, agreed in 2022 to allow commissions up to 30.0% beginning in January 2023, applying to restaurants that opt into higher-tier packages offering benefits such as ad matching and broader delivery coverage. The platforms dropped their lawsuit in exchange.
- New York City's dispute ran longer. The city remained among the last with a fee cap as of late 2024, according to BQE Media and settled the 2021 suit by June 2025. Amendments cap delivery and transaction fees while permitting up to 20.0% in additional service charges, allowing total commission fees to reach 43.0% per order. These outcomes restored pricing latitude across major markets and supported greater revenue capture in the delivery segment.

First-party data turned platform advertising into a thriving revenue generator

- Advertising was a minor channel before 2020, but has since developed into a sophisticated revenue stream. Ashley Karim-Kincey, VP of Media at Dagger, said in a 2021 Digiday interview that companies with first-party data stood to gain as third-party cookies disappeared, citing DoorDash's access to millions of user data points as an advantage in the emerging retail media space. BCG reinforced that view in 2023, tying the end of third-party cookies to privacy concerns and projecting that retail media, where retailers sell ad space and access to first-party data, would reach $100.0 billion by 2028.
- Delivery platforms fit that model closely, since they track consumer purchasing behavior directly on their own apps. Grubhub launched an advertising business in late 2024 with Koddi and Rokt, placing ads on post-order confirmation screens. Retail Touchpoints reported in a 2025 exclusive that rising retail media spending drove the decision.
- Results followed quickly. Grubhub Ads delivered a 20.0% increase in click-through rates as of 2025, alongside a 6.0% revenue gain, reflecting stronger engagement and measurable returns for enterprise advertisers.
- DoorDash built its program earlier and scaled it further. The company launched ranked advertising in 2021, charging restaurants only when a user clicks an ad and places an order. That business reached $1.0 billion by 2024, ranking among the fastest-growing retail media networks. Peter Giordano, head of ads platform and growth at DoorDash, noted the performance-based structure helped smaller advertisers, since mom-and-pop restaurants avoided large upfront ad commitments.
- Expansion now targets off-site inventory. DoorDash acquired retail search ad company Symbiosys for $175.0 million in 2025 to route brand exposure on external platforms, such as social media, back to its own marketplace, extending reach beyond the walled garden and supporting consumer acquisition and retention.

Minimum pay laws in New York and Seattle push fees onto consumers

- Courier pay sits at the center of the industry's regulatory pressure, since independent contractor status excludes these workers from federal and state protections covering minimum wage and collective bargaining. A 2025 Human Rights Watch report found platform workers vulnerable to sub-minimum pay and wage theft, reporting a median wage of $5.12 an hour in states with weaker labor laws, such as Texas.
- City legislators moved first. New York City, where gig workers earned close to $7 an hour, became the first jurisdiction to set a minimum pay rate for app-based restaurant delivery workers in 2023, a standard expected to reach $29.93 an hour of active time. Seattle's law took effect in 2024, requiring at least $26.40 per hour on delivery before tips.
- Platforms passed those costs through rather than absorbing them. DoorDash warned that the requirements would lead to higher fees and introduced a $4.99 regulatory response fee in Seattle in August 2024, later stating that it operated at a loss in the city that year, blunting industry profit in these locations. According to the company, fee increases of that magnitude carry order-volume risk.
- New York produced a different response. DoorDash and Uber Eats raised fees and also moved tipping prompts to after checkout, offsetting fee increases by keeping tips out of the consumer's upfront calculation. Tipping fell 75.0% the week following that change, which the city estimated cost drivers roughly $554.0 million in lost earnings.
- City leaders amended the law in response, requiring tipping options at checkout. Those amendments took effect in 2026 and tips recovered. DoorDash continued raising order fees in the city regardless, citing minimum pay requirements in April 2026, which indicates that fee pass-through remains the primary compliance strategy across both markets.

Rising order fraud drives platform investment in real-time detection technology

- Fraud risk climbed across delivery and rideshare operations. A 2025 Veriff report, based on a broad survey of industry leaders, including gig economy executives, found that 72.0% reported an increase in online fraud over the prior year and 75.5% said fraud damaged revenue.
- The schemes evolved beyond impersonation. Refund fraud involves bad actors filing false refund claims to collect cashback on completed orders. At the same time, promotion abuse relies on disposable email accounts created solely to harvest discount codes, which drains the budgets platforms allocate to marketing. In 2025, Incognia reported that food delivery apps account for 48.0% of promotion fraud cases and the same share of refund fraud cases.
- Platforms built detection capability in response. DoorDash deployed real-time monitoring technology in late 2025 to flag fraudulent activity and introduced specialized training for merchant fraud teams, including immediate account deactivation once fraud is confirmed. That approach shortens response times on active cases.

- Third-party tools supplement internal systems. DoorDash works with Dyneti Technologies to enable real-time card scanning, allowing consumers to verify a flagged transaction by scanning a physical card rather than relying solely on manually entered data. The company reported $15.0 million in annual fraud savings from those integrations as of 2025, which protects both order revenue and advertising budgets.
- Detection investment extends across the broader gig sector. Veriff's 2024 survey found that 64.0% of US-based fraud professionals, including those working in the gig economy, use AI and machine learning to identify fraud and theft. That shift makes fraud prevention a technology function rather than a manual review process, and it limits the revenue leakage and reputational exposure these platforms face.

Outlook

↑2026-31 Revenue CAGR: 9.2%

What's driving the industry outlook?

Drone delivery scales, though costs will climb

- Commercial drones will reshape the industry's fulfillment mix over the long term as B2C flights scale. PwC estimates the value of drone-delivered food will grow at a CAGR of 66.0% from 2024 to 2034, with a scenario where 389.0 billion last-mile deliveries shift to this modality by 2034. That projection rests on aircraft flying at regulated altitudes in commercially viable volumes.
- Regulation remains the binding constraint on that trajectory. McKinsey cited regulation as the top barrier in 2022, even with growing deployments from operators like Flytrex and Zipline and increased funding backing the space. In the US, carrying another party's property for compensation beyond visual line of sight requires FAA Part 135 certification. Certificate holders also need a separate waiver for each operating location before conducting BVLOS flights, which adds a second layer of approval.
- The FAA began loosening that bottleneck. Starting in 2024, the agency granted location-specific BVLOS waivers to select operators in the Dallas-Fort Worth region, including Zipline. Robin Riedel, co-leader of the McKinsey Center for Future Mobility, described that as a win for the sector.
- Because waivers are tied to specific geographies, platforms that want drone capability must partner with operators already holding the required authorizations. PwC recommended exactly that approach in its 2024 report. Uber announced plans to launch Uber Eats drone pilots with Flytrex in 2025, citing the operator's BVLOS approval and said investment is expected to accelerate deployment. DoorDash worked with Flytrex in Dallas-Fort Worth in 2025, then launched DoorDash Air in 2026 under its own Part 135 certification, which covers BVLOS operations.
- Bringing flights in-house shifts costs onto the platforms. DoorDash Labs will scale its robotics engineering and maintenance headcount, which will raise employment expenses and pressure profit growth. CEO Tony Xu highlighted the speed and cost benefits of autonomous delivery on the Q2 2026 earnings call, though the technology investment carries execution risk.

Fee transparency rules and surveillance pricing bans will compress industry profit

- Regulators and consumers increasingly scrutinize how platforms structure fees, with a focus on drip pricing and surveillance pricing. Drip pricing advertises a low headline price and adds charges at checkout, while surveillance pricing uses algorithms to tailor prices based on individual consumer data. Under the second practice, two consumers can pay different amounts for the same order depending on how the system reads their purchasing behavior.
- State activity accelerated sharply. Inside Privacy, a legal blog run by Covington & Burling LLP, reported in 2026 that state lawmakers introduced more than 40 bills in 24 states to regulate personalized algorithmic pricing, already outpacing 2025 totals. Connecticut passed an outright ban on surveillance pricing by third-party delivery services in 2026, with carve-outs for retention discounts and for pricing that reflects supply and demand conditions.
- Federal action is under consideration. The FTC filed an Advance Notice of Proposed Rulemaking in April 2026, seeking comment on a nationwide rule to address unfair or deceptive fees charged by online food and grocery delivery platforms. Such a rule would let the agency pursue civil action against violators. A coalition of states filed a letter backing that effort in May 2026, urging stronger upfront cost transparency and naming delivery apps as the worst offenders for drip pricing.
- The scope of any final rule matters. M. Scott Vinson, a policy and regulatory affairs advisor, told Business Insider in 2026 that a broad definition of covered fees and services could push companies across multiple industries toward all-in pricing and clearer upfront costs, extending disclosure obligations to delivery apps and their vendors.
- Compliance will pressure profit. Platforms that display full upfront costs lose the revenue previously generated by checkout-stage fees and state bans end revenue tied to algorithmic price differentiation. Companies that fail to adapt face civil fines from federal and state enforcement.

Portable benefits pilots preserve contractor status while raising near-term costs

- Gig worker classification remains contested, and formal policy continues to develop as the workforce grows. McKinsey found that 36.0% of employed Americans identified as independent workers as of August 2022, up from 27.0% in 2016. Financial strain among these workers rose alongside that shift. A 2025 GAO report found that gig platform workers ranked as the top recipients of SNAP benefits that year, displacing retail and fast-food workers who had held that position since 2020 and that the gig economy ranked third among sponsors of Medicaid enrollees despite falling outside the top five in 2020.

- Federal reclassification looks unlikely in the near term. In 2026, the federal government stopped enforcing a 2024 Biden-era rule that applied control-based criteria to classify contractors as employees, shifting the debate toward alternative mechanisms.
- Portable benefits emerged as the leading alternative. These accounts are linked to the worker rather than the platform, allowing contractors to accrue healthcare and paid leave coverage across multiple apps. Utah enacted the first such law in 2023, followed by Tennessee and Alabama, creating legal pathways for the accounts while preserving contractor status. The Institute for Youth in Policy identifies the model as a viable option under current law, and the NCSL has convened work groups on implementation since 2022.
- Select businesses are already running pilots. Grubhub announced a partnership with Stride in late 2024 to launch portable benefits accounts covering dental, life and health insurance for its partners. DoorDash piloted comparable programs in Georgia and Pennsylvania beginning in 2024 on a limited, temporary basis with state approval. DoorDash also intensified lobbying in states like Wisconsin to pass enabling legislation.
- Pilot spending and lobbying costs weigh on near-term profit growth. The trade-off is infrastructure readiness for wider rollout, which positions these companies to attract courier talent seeking benefits and stabilize labor supply over the long run.

POS integration partnerships will capture restaurant demand for unified order management

- Restaurant technology constraints reshaped what merchants want from delivery platforms. Ankit Gupta, head of product at the POS business Otter, said on a December 2025 Full Comp podcast that early-pandemic order volumes exposed the limits of legacy setups, since restaurants had historically run Grubhub and DoorDash on separate tablets and printers. That arrangement complicated order management as digital volume climbed. A 2022 RestaurantOwner.com survey ranked third-party order and delivery integration among the top demands restaurants placed on their POS systems.
- Platforms responded through vendor partnerships. DoorDash worked with POS vendor MenuSifu starting in 2022 to integrate its logistics technology, reaching thousands of restaurants by 2024. Uber partnered with Checkmate to bring its delivery network into the platform's first-party ordering channels.
- Deal activity continued into the outlook period. Uber announced a partnership with Toast in late 2025 that will integrate its delivery services into the POS platform, with rollout beginning in 2026 and expected gains in demand across Uber's marketplace. Grubhub announced an integration with HungerRush in 2025, a vendor already connected to DoorDash and Uber Eats, creating a unified system that removes the need for separate tablets and aggregator devices.
- The underlying problem persists on a smaller scale, sustaining demand. Gupta noted that restaurants increasingly juggle multiple delivery services and order formats simultaneously and that the expanding role of POS systems will continue to drive demand for solutions that support these channels natively rather than through workarounds.
- These integrations support revenue growth across the forecast period. Platforms that embed in widely used POS systems gain access to merchant bases already seeking unified order management, thereby converting vendor relationships into order volume and positioning these companies for continued gains in demand.

Volatility

High

What influences industry volatility?

Evolving courier pay mandates add risk to revenue streams

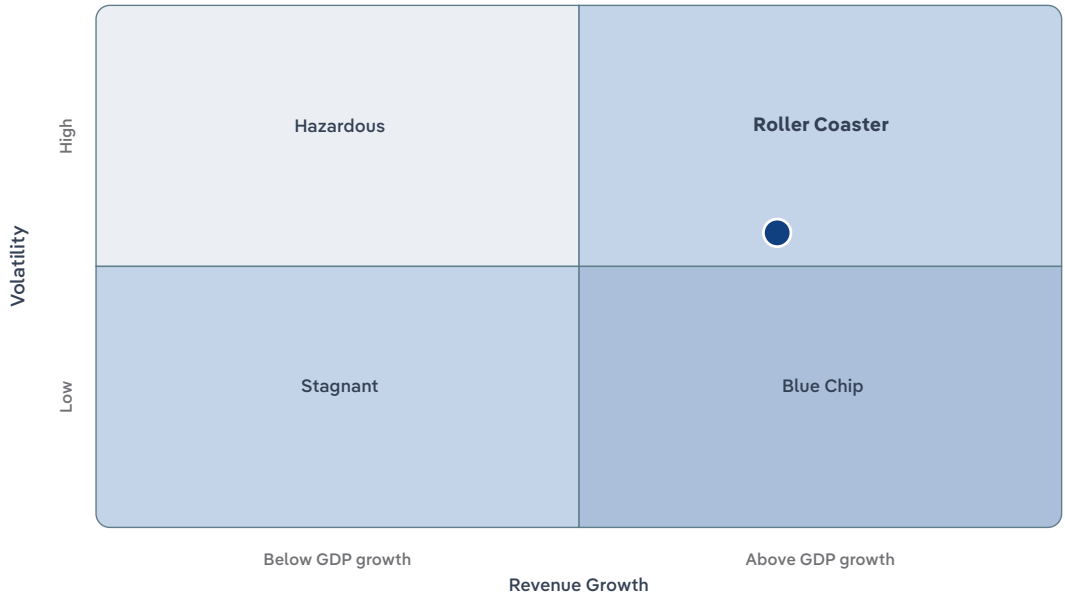
- Minimum pay standards in large cities like New York and Seattle push platforms to add fees that offset higher courier compensation. DoorDash noted in 2026 that its average fee per order in Seattle exceeded the fees charged in markets like San Francisco and Denver, underscoring the extent of the pass-through to consumers there. The company's Q4 2025 report projected rising Dasher costs into Q1 2026, driven partly by expenses in regulated markets, with a material effect on EBITDA.
- Higher prices dampen volume. DoorDash reported that average monthly sales per Seattle store rose 5.0% from January 2023 to January 2025, against double-digit growth in San Francisco and Denver.

Severe weather suspensions destabilize quarterly revenue

- Seasonal weather poses a distinct risk, since storms in colder months threaten both delivery completion and courier safety. DoorDash introduced its Severe Weather Protocol in 2024 to suspend operations in unsafe conditions, deploying it during events such as Hurricane Helene. Starting in 2026, the company began testing a Weather Impact Fee that raises Dasher pay to compensate couriers for delivering during hazardous conditions.
- Both responses cut into earnings. DoorDash estimated a $20.0 million hit to Q1 2026 EBITDA if these events occurred in combination. Suspended operations eliminate revenue from affected routes while higher courier payments raise fulfillment costs, which produces uneven revenue across quarters.

Roller Coaster

Industry volatility vs. revenue growth (2021-2026 CAGR)



IBISWorld

Source: IBISWorld

☆ Key Success Factors

How do successful businesses overcome volatility?

Raise revenue from additional sources

Order volume swings with consumer spending, so advertising, restaurant software and subscription fees smooth the ride. Uber's roughly $2.0 billion advertising line doesn't move with meal demand the way commissions do.

Secure a flexible workforce

Independent-contractor couriers scale up and down with demand, so platforms don't carry idle labor during slow weeks. That structure keeps fulfillment costs variable when order volume drops unexpectedly.

Life Cycle

Growth

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries



*Growth is based on change in share of economy combined with change in establishment numbers

IBISWorld

Source: IBISWorld

Why is the industry growing?

Contribution to GDP

The industry adds to GDP as restaurants increasingly treat third-party delivery as core infrastructure rather than an optional channel. Consumers have grown accustomed to app-based ordering over the years, which has locked these platforms into restaurant fulfillment and positioned them as an established component of the broader service economy.

Market Saturation

Saturation remains limited because demand continues to expand across evolving consumer groups. Office workers returning to weekday routines order more frequently, and lower-income households sustain volume through coupons and discounts that hold their market share stable. Advertising services add another growth channel by attracting brands and restaurant clients.

Innovation

Innovation continues scaling across delivery and monetization. Platforms deploy drones that operate both with and without human observers tracking their flights, extending fulfillment options beyond couriers. Interactive advertising formats allow consumers to browse and purchase directly from ads, creating value-added revenue streams alongside core delivery commissions.

Consolidation

No clear market share leader emerges despite the small number of competing platforms. Multi-apping by drivers and restaurants prevents any single company from holding a majority, since both groups spread activity across rivals. Geographic strategies like targeting specific residential areas let companies carve out defensible demographic niches instead.

Technology & Systems

Platforms scale their technical capabilities through dedicated autonomous solution labs that develop sidewalk robots and drones. DoorDash pairs that work with longstanding investment in software for marketing services, built through acquisitions and internal development teams over the years. Software and hardware together form the operational core of these businesses.

Products and Markets

Key Takeaways

Delivery earns from both sides of every order. Platforms collect a restaurant commission plus consumer delivery and service fees, and that commission runs several times the pickup rate, so each order monetizes far deeper.

Upper-income households anchor platform revenue. They place the largest baskets, add alcohol and premium items, default into subscriptions and barely react to fee increases, since they're buying time rather than access.

Largest Market

$30.8bn

Delivery

Product Innovation

Moderate

Products and Services

How are the industry's products and services performing?

Cautious consumer spending keeps delivery flat despite its dominant revenue share

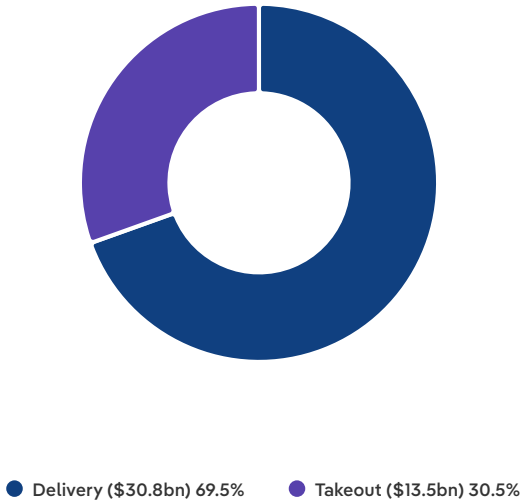
- Delivery covers the courier-fulfilled order: the platform takes the order, dispatches an independent contractor and charges the restaurant a commission of 15% to 30% in addition to consumer-side delivery and service fees. The segment holds the largest revenue share because it's the only product where platforms collect from both sides of the same transaction, and the commission runs two to five times the pickup rate, so each order monetizes far more deeply than any alternative.
- Growth stalled even as the segment stayed dominant. A 2025 McKinsey survey found intent to spend on app-delivered meals fell an average of 21.0% across demographics amid economic pressure, with upper-income consumers cutting back less than middle- and lower-income groups.

Generational splits in pickup habits cap takeout's revenue share gains

- Takeout on these platforms is order-ahead pickup: consumers browse, pay and collect in person, with no courier dispatched. Commissions run far below delivery rates, and platforms carry no fulfillment cost, so they price the product aggressively. DoorDash cut pickup pricing alongside its Storefront-native ordering product following restaurant feedback. The segment holds the second-largest revenue share because it captures fee-averse and time-flexible orders that would otherwise leave the platform entirely, monetizing demand that delivery pricing would otherwise price out.
- Uneven adoption limits growth. National Restaurant Association data show 47.0% of adults get takeout at least weekly, with millennials and Gen Z at over 50.0% compared with sub-50.0% rates among Gen X and boomers.

Products & Services Segmentation

Industry revenue in 2026 broken down by key product and service lines.



IBISWorld

Source: IBISWorld

☆ Key Success Factors

What products or services do successful businesses offer?

Develop sophisticated computer technologies

Routing algorithms, demand forecasting and point-of-sale integrations determine delivery times and merchant retention. Platforms that invest here move more orders per driver hour, which shows up directly in profit and repeat use.

Provide a related range of goods and/or services

Advertising, restaurant software, reservations and a drone fulfillment layer add new revenue to the same order flow. DoorDash's acquisition of SevenRooms shows how adjacent services deepen merchant relationships beyond commission-based delivery.

Innovations

Moderate

What are innovations in industry products and services?

Advertising platforms built on first-party data add revenue beyond order commissions

- Platforms now sell advertising to the merchants and brands on their own marketplaces, covering sponsored listings, promotions and, more recently, placements on outside sites. That layer generates revenue in addition to order commissions, since restaurants and consumer brands pay for visibility within the apps. Advertiser demand scaled quickly: Uber reported $2.0 billion in annual advertising revenue in its Q4 2025 results.
- Newer tools target specific consumer behavior. DoorDash launched Brand Interest Targeting in 2026, enabling restaurants to reach consumers who show affinity for similar brands and cuisines, based on DoorDash's first-party data. Uber released formats in 2026 that let restaurants and partner brands feature seasonal or high-priority items, with instant add-to-cart functionality.

Drone delivery moves from partnerships to in-house platform operations

- Drone delivery routes orders through autonomous aircraft rather than couriers, with platforms partnering rather than flying themselves, since the drone operators hold the FAA air carrier certificates. DoorDash works with Wing and Flytrex, and Uber Eats partnered with Flytrex in a deal that marked its first investment in drone delivery. These programs run as tests ahead of full deployment, and regulatory conditions continue to evolve as select areas permit flights beyond the operator's visual line of sight.
- Platforms also brought the capability in-house. DoorDash launched DoorDash Air in 2026 as its own air delivery service, securing FAA Part 135 certification to operate directly. That step allows the company to operate flights alongside its existing partner network.

Sidewalk delivery robots cover short deliveries

- Platforms added autonomous ground vehicles as a fulfillment option, routing eligible orders to sidewalk robots rather than human couriers. Uber Eats partners with Serve Robotics and Coco Robotics, and DoorDash unveiled its own robot, Dot, in September 2025. These vehicles navigate sidewalks and street crossings to complete short-range deliveries. For DoorDash, the technology also addresses congestion and emissions, helping ease delivery flows without the environmental drawbacks that could affect public perception.
- Deployment scaled across major metros. Serve Robotics reported roughly 2,000 sidewalk robots operating within the Uber Eats network as of 2023. Coco expanded into San Jose beginning in 2026, adding to existing rollouts in Miami and Los Angeles.

Major Markets

What's influencing demand from the industry's markets?

Upper-income households anchor revenue through large baskets and low fee sensitivity

- This market covers households earning more than roughly $75,000 annually, including dual-earner professionals who work long hours. These consumers place the largest baskets, order for groups and families, add alcohol and premium restaurant items, default to a subscription membership and show minimal fee sensitivity. They buy convenience rather than access, so a delivery fee reads as trivial compared with an hour saved, and both order value and frequency remain above those of every other income group even as fees climb.
- DoorDash found that close to 34.0% of consumers earning more than $75,000 order more than 4 times, compared with 31.0% of those below that threshold. Platforms build services around this group, and DoorDash's acquisition of SevenRooms lets it secure restaurant reservations for DashPass members, layering premium perks onto core delivery.

Return-to-office weekday lunch orders lift middle-income household demand

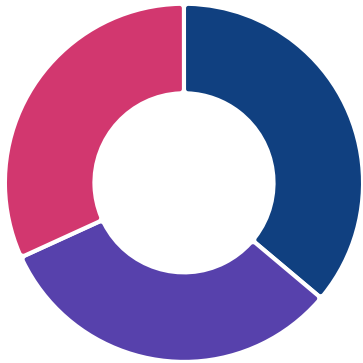
- This market covers middle-income households that order regularly but treat delivery as discretionary spending. Baskets run mid-sized and skew toward restaurant meals rather than other categories, and these consumers watch fees and tipping closely. Delivery competes against real alternatives here, since these households own cars, hold flexible schedules and can pick up or cook instead. Each order works as a convenience purchase that justifies itself individually, unlike orders from transport-constrained households or higher earners insulated from rising costs.
- Office attendance patterns drive recent gains in this cohort. DoorDash reported that weekday lunch orders from business districts rose 2.5% year over year in September 2025, led by cities including Chandler, Arizona and San Francisco. Workplace spending increasingly routes through these platforms.

Discount reliance moderates revenue contribution from lower-income households

- This market covers lower-income households that order frequently but spend less per order, with a concentration in dense urban areas where delivery ranges remain short. For consumers without a car or working irregular shift hours, delivery serves as a substitute for a trip to a store or restaurant rather than as a luxury purchase.
- Discount dependence caps how much revenue this group generates. Purdue University found in 2024 that 31.0% of consumers earning below $50,000 often use deals and promo codes when ordering through delivery apps, a rate above both middle- and upper-income groups. Promotional pricing offsets the fees these households absorb.

Major Markets Segmentation

Industry revenue in 2026 broken down by key markets



Upper income ($16.0bn) 36.1%
Middle income ($14.2bn) 32.1%
Lower income ($14.1bn) 31.8%

IBISWorld

Source: IBISWorld

International Trade

No data

Some industries don't directly import or export goods. See reports at the manufacturing level for international trade data on relevant products.

Geographic Breakdown

Key Takeaways

California holds its lead through talent rather than real estate. DoorDash's San Francisco lease runs through 2032, though Uber subleases Mission Bay space to OpenAI, so the state's pull now rests on Bay Area engineering labor.

Florida and Texas draw operations with growth and lower costs. Both states rank among the fastest-growing in absolute population terms, and lighter tax burdens allow platforms to build larger footprints in Miami and Dallas with comparable spending.

Business Locations

State	Establishments by Region (Units)	Establishments by Region (%)	Population (%)
Alabama	1	2.2	1.5
Alaska	0	0.0	0.2
Arizona	1	2.2	2.2
Arkansas	0	0.0	0.9
California	6	13.3	11.5
Colorado	1	2.2	1.8
Connecticut	0	0.0	1.1
Delaware	0	0.0	0.3
District of Columbia	0	0.0	0.2
Florida	4	8.9	7.0
Georgia	1	2.2	3.3
Hawaii	0	0.0	0.4
Idaho	0	0.0	0.6
Illinois	2	4.4	3.7
Indiana	1	2.2	2.0
Iowa	0	0.0	0.9
Kansas	0	0.0	0.9
Kentucky	1	2.2	1.3
Louisiana	1	2.2	1.3
Maine	0	0.0	0.4
Maryland	1	2.2	1.8
Massachusetts	1	2.2	2.1
Michigan	1	2.2	3.0
Minnesota	1	2.2	1.7
Mississippi	0	0.0	0.9
Missouri	1	2.2	1.8
Montana	0	0.0	0.3
Nebraska	0	0.0	0.6

State	Establishments by Region (Units)	Establishments by Region (%)	Population (%)
Nevada	0	0.0	1.0
New Hampshire	0	0.0	0.4
New Jersey	2	4.4	2.8
New Mexico	0	0.0	0.6
New York	3	6.7	5.8
North Carolina	1	2.2	3.3
North Dakota	0	0.0	0.2
Ohio	1	2.2	3.5
Oklahoma	0	0.0	1.2
Oregon	1	2.2	1.2
Pennsylvania	2	4.4	3.8
Rhode Island	0	0.0	0.3
South Carolina	1	2.2	1.6
South Dakota	0	0.0	0.3
Tennessee	2	4.4	2.1
Texas	4	8.9	9.4
Utah	1	2.2	1.0
Vermont	0	0.0	0.2
Virginia	1	2.2	2.6
Washington	1	2.2	2.3
West Virginia	0	0.0	0.5
Wisconsin	1	2.2	1.7
Wyoming	0	0.0	0.2

Where are businesses located?

California anchors the industry through founding infrastructure and tech talent

- California holds the industry's largest concentration of operations because the major platforms started there, and the infrastructure built around that founding proved difficult to abandon. DoorDash still operates from its San Francisco headquarters under a lease that runs through 2032, and the company acquired Caviar, another San Francisco-born platform, in 2019. Uber assembled a Mission Bay campus exceeding one million square feet across four Third Street buildings, committing that space during a period when both companies expected continued growth within the city itself.
- The status of that office footprint changed midway through the period. Uber began subleasing portions of its Mission Bay space to OpenAI to right-size its real estate needs, a development the San Francisco Chronicle reported and a notable shift given the scale of the company's holdings in the area. The move reflects broader tensions in commercial real estate in large coastal cities, where these platforms have historically based their operations, and it moderates how much physical space the industry occupies in states like California, even as the companies stay put.
- Talent availability and a dense population keep California central to the industry's operations. The engineering, product and data science workforce these platforms depend on concentrates in the Bay Area and the state's urban markets generate substantial order volume in their own right. Those two factors sustain California's position as a primary location for the industry, with the legacy of its founding reinforced by ongoing access to specialized labor rather than by real estate commitments alone.

Florida draws operations through population growth and lower tax costs

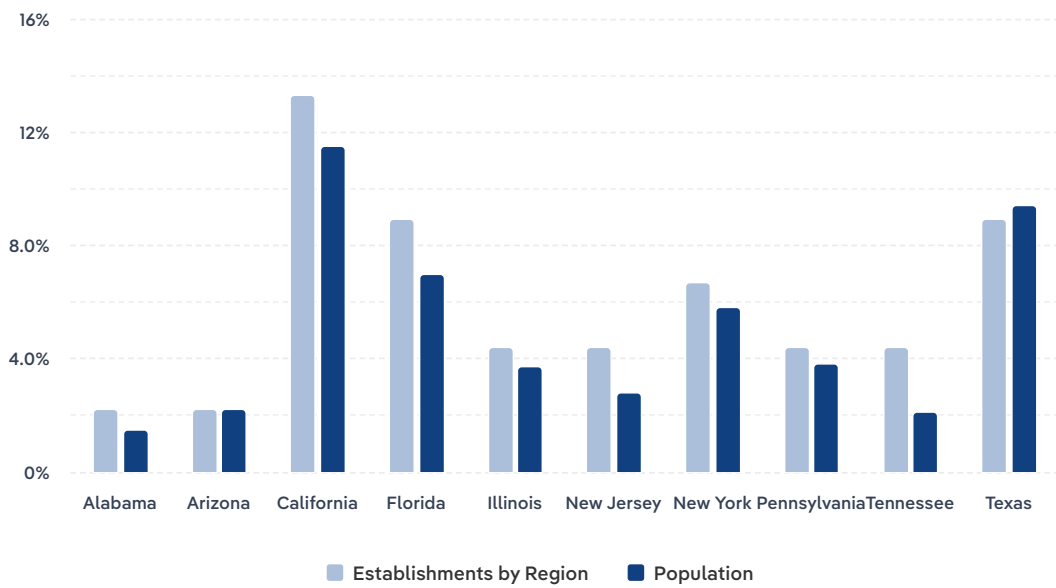
- Florida ranks second among states for food delivery activity, supported by population scale and a permissive regulatory environment. Census Vintage 2025 estimates place the state third in total population at 23,462,518 and third for absolute growth, adding nearly 200,000 residents between July 2024 and July 2025. Only Texas grew faster in absolute terms, and that expanding resident base translates directly into order volume across the state's metro markets.
- Uber has offices in Miami and has operated there for the past decade, expanding its presence since 2021 through extended leases covering additional space. The growth reflects how these companies scale their technology and ridesharing operations alongside their delivery operations, using a single metro footprint to support multiple business lines.
- Lower tax burdens and competitive occupancy costs reinforce the state's appeal relative to alternatives. Companies establishing operations in Florida's major cities avoid the higher costs they'd incur in other states, allowing them to build a larger physical footprint for comparable spending. That combination of a growing consumer base and favorable operating economics accounts for the industry's expanding presence in the Southeast.

Texas attracts operations through metro scale and drone infrastructure

- Texas ranks third among states for food delivery activity, reflecting both population scale and a favorable regulatory posture. Census Bureau estimates place the state second in total population and among the fastest-growing in absolute terms, with Dallas-Fort Worth standing as the fourth-largest metro area in the country. That concentration of residents across multiple large metros generates order density comparable to that of the coastal markets where the industry started and at lower operating costs.
- Uber has operated from its Deep Ellum facility in Dallas since 2019, employing thousands of workers at the company's second-largest location outside California. DoorDash also maintains a presence in Austin dating to the previous decade. Both moves reflect the same calculation: large resident populations paired with access to technical talent enable these platforms to build substantial corporate operations closer to the markets they serve, thereby expanding the state's share of industry employment and establishments.
- Texas is also home to drone manufacturers moving into food delivery, adding a hardware dimension to the state's role. Flytrex, a partner to both DoorDash and Uber Eats, opened a manufacturing and maintenance facility in Pilot Point in 2026 and expanded its testing of pilot drone deliveries to consumers in the state. The company also began working with Little Caesars in 2026 to handle food delivery for the chain. That activity positions Texas as a proving ground for autonomous delivery rather than only a corporate office market, and it draws the industry closer to the restaurant brands and drone operators it depends on for fulfillment. Regulatory conditions in the state support testing, which helps explain why manufacturing and pilot programs cluster there.

Business Concentration

Share of establishments by region (%) vs. share of population (%)



IBISWorld

Sources: IBISWorld

☆ Key Success Factors

How do businesses use location to their advantage?

Operate in a location that is close to key markets

Dense metros put restaurants and consumers within short delivery radii, which cuts courier time per order. Platforms also site offices in cities like Dallas and Miami to sit closer to the markets they serve.

Operate in states where regulations are more favorable to the industry

Texas and Florida impose lighter tax and labor requirements than California or New York, and Texas permits extensive drone testing. Those conditions shape where platforms expand offices and pilot new fulfillment methods.

Competitive Forces

Key Takeaways

Restaurants function as both partners and competitors. They generate revenue when they list on apps, use platform couriers or license ordering software, yet their dine-in service competes for the same meal occasion.

Multi-apping keeps any single platform from dominating. Restaurants list with several apps at once to maximize order volume, and many drivers work across competing platforms, so both merchant rosters and labor are shared.

Concentration	Competition	Barriers to Entry
Low	High — Increasing	Moderate — Increasing
Substitutes	**Buyer Power**	**Supplier Power**
Moderate — Steady	Moderate — Steady	Low — Steady

Concentration

What impacts the industry's market share concentration?

DoorDash's suburban focus has secured a share that city-focused rivals don't contest

- No single platform controls the entire market, but geographic focus lets individual players lock up a share in specific areas. DoorDash built its network around suburban markets rather than dense cities, which delivered faster growth than rivals concentrating elsewhere. Alfred Lin, a partner at Sequoia Capital, noted that suburban deliveries proved both quicker and more profitable, largely because competition in those markets remained thin, leaving the territory open.
- Grubhub's former CEO acknowledged that the suburban buildout didn't look economically sensible at first, though the pandemic accelerated demand in exactly those markets, according to Fortune. That timing handed DoorDash easier access to suburban consumers than city-focused competitors managed. Concentration, therefore, reflects geographic positioning as much as overall scale.

Multi-apping by restaurants and drivers keeps industry concentration divided

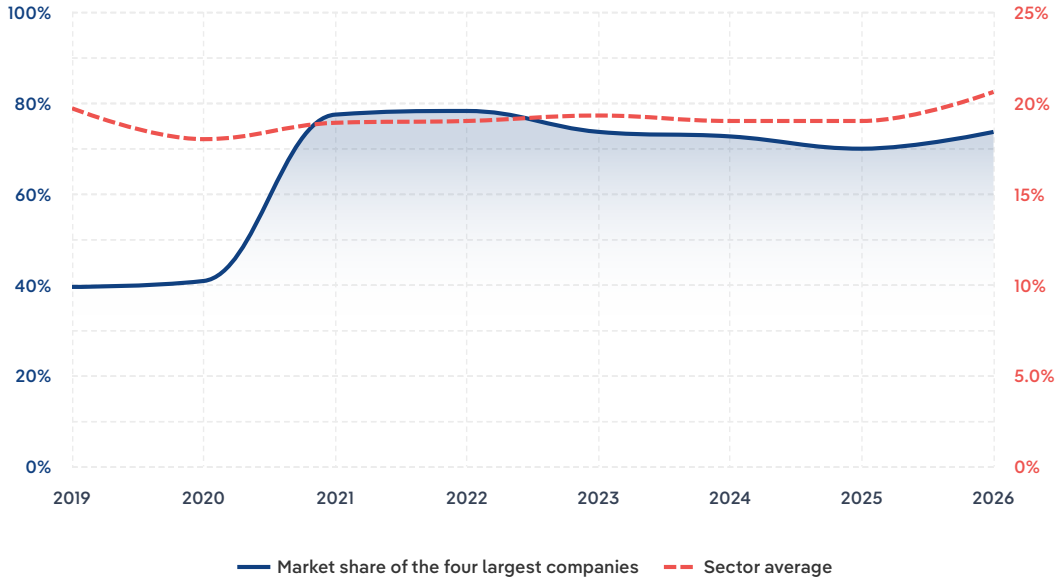
- No single platform captures the market outright, in part because merchants list on several apps at once. National Restaurant Association survey data from 2025 found that 63.0% of limited-service restaurants and 41.0% of full-service restaurants partner with multiple third-party delivery platforms. Restaurants use that approach to maximize gig-economy order volume, splitting their sales across competing apps rather than consolidating them into one.
- Driver behavior follows a similar pattern. National Equity Atlas data from 2021 found that 66.0% of California contractors drive for more than one platform, including Uber Eats, DoorDash and Postmates, as well as rideshare services like Uber and Lyft. Shared labor and shared merchant rosters both limit how concentrated the industry becomes.

FAA Part 135 certification limits how far platforms scale drone delivery share

- Drone food delivery has scaled up in recent years, though regulatory limits keep any single platform from capturing a meaningful share of the market. The FAA requires Part 135 air carrier certification before commercial drone deliveries can operate at all, and regulators didn't loosen that requirement in any substantial way. DoorDash secured its own certification in 2026, which made it only the eighth certificate holder. Uber and Grubhub don't hold one, so they contract with certified drone operators instead.
- DoorDash described the certification process as rigorous in its 2026 announcement, noting the five-stage evaluation operators must complete. That process limits how quickly new entrants can add drone capability, which keeps this delivery modality a small, concentrated segment of the broader market.

Market Share Concentration

Combined market share of the four largest companies in this industry



IBISWorld

Source: IBISWorld

☆ Key Success Factors

How do successful businesses handle concentration?

Develop a clear market position

With a few platforms offering broadly similar service, players that stake out a specific niche hold ground better. Grubhub's campus dining focus shows how a defined position keeps a smaller platform relevant against larger rivals.

Secure economies of scale

DoorDash and Uber Eats spread fixed technology and driver-network costs across enormous order volume, which drops their cost per delivery. Smaller platforms carry similar overhead on far fewer orders, so scale largely determines who stays profitable.

Barriers to Entry

Moderate | Increasing

What challenges do potential industry entrants face?

Legal

- Cities like New York require licenses to operate food delivery, so entrants budget for the legal work to secure those permits and keep them current. Legal teams also handle contracts covering software licensing, restaurant partnership terms and hardware vendor agreements, adding recurring costs before the first order runs.

Start-Up Costs

- Established platforms operate from existing facilities with technology in place, so they don't incur these expenses. Entrants must fund the full operational outlay upfront, including the hardware and software that support extensive delivery operations. That gap makes start-up costs a meaningful hurdle at launch.

Differentiation

- Concentration sits with a few large platforms holding significant industry shares and offering broadly similar services. Entrants that launch generic products struggle from the outset, particularly because incumbents invest heavily in software and hardware innovation. Matching that pace of development becomes a condition of survival rather than an advantage.

Capital Expenses

- Entrants need capital ready to deploy on the technology stack that runs their apps, processes payments and connects to restaurant point-of-sale systems. Those integrations require working solutions from day one, not later builds. Office space adds another funding requirement on top of the core technology investment.

☆ Key Success Factors

How can potential entrants overcome barriers to entry?

Ensure accessibility to consumers and end-users

New platforms need both a merchant roster that consumers recognize and enough drivers to hit competitive delivery times. Building both sides at once in a single city determines whether an entrant gains traction.

Secure economies of scale

Entrants face the same fixed technology and driver-acquisition costs as DoorDash and Uber Eats, but spread them across far fewer orders. Scale in a launch market brings per-order delivery costs down to a workable level.

Substitutes

Moderate Steady

What are substitutes for industry services?

Full-Service Restaurant Franchises

- Restaurants sit on both sides of the industry. They generate opportunity when they list on delivery apps, hand fulfillment to platform drivers or license platform software to run their own ordering. That same relationship makes them substitutes, since the dine-in experience competes directly with delivery for the same meal occasion.
- A 2023 US Foods survey found that 43.0% of respondents prefer dining in at restaurants, while 57.0% opt for takeout or delivery. That split shows a meaningful share of consumers who bypass third-party apps entirely. Some choose dine-in to get out of the house, and others book tables for large gatherings and events that delivery can't accommodate.

☆ Key Success Factors

How do successful businesses compete with substitutes?

Develop a loyal customer base

Choosing substitutes like restaurant pickup or cooking at home costs consumers nothing. Subscription perks and habit-forming ordering flows keep users in the app rather than driving to the counter.

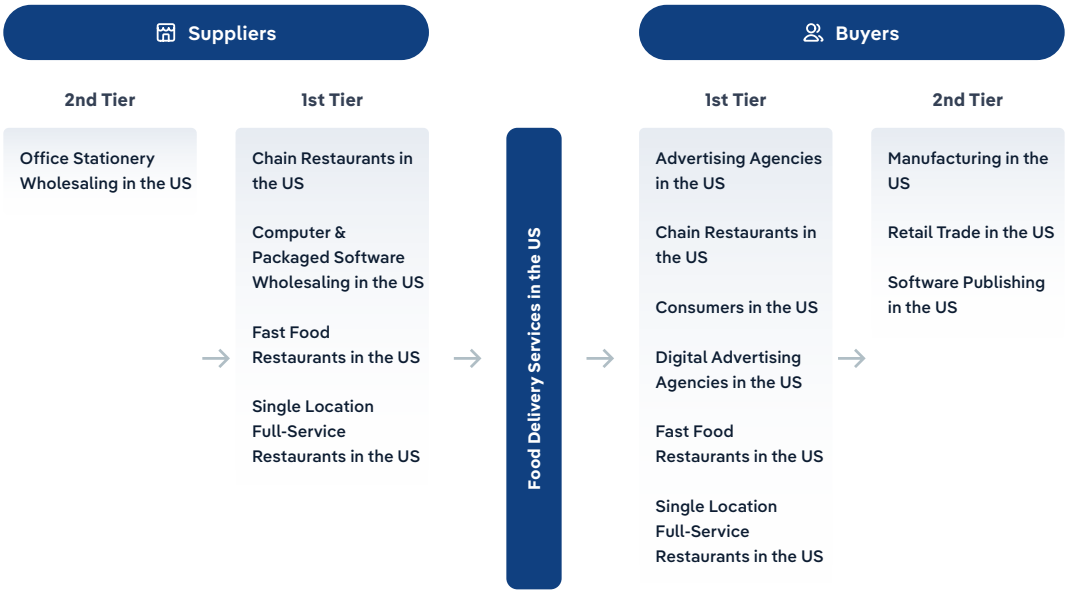
Offer a competitively priced product

Delivery fees, service charges and menu markups decide whether ordering in beats picking up. Keeping the total cost close to counter prices removes the main reason consumers switch to substitutes.

Buyer & Supplier Power

Supply Chain

Direct and indirect supplier and buyer industries related to this industry



IBISWorld

Source: IBISWorld

What power do buyers and suppliers have over the industry?

Moderate | Steady

Buyers: Fragmented advertiser base restricts bargaining power over ad inventory

- Advertising agencies buying ad space on delivery platforms want access to large, engaged audiences and first-party purchase data, but they operate as a fragmented buyer group. No single agency controls enough ad spending to force concessions on rates or placement terms, so platforms set pricing with limited pushback. Agencies that walk away also lose access to logged-in consumers who regularly order and see in-app promotional offers, making it costly for brands that depend on repeat engagement to lift sales to switch to rival channels.
- Concentration stays low among advertisers that buy directly without agency representation, including software publishers and manufacturers. These industries don't consolidate enough spending in any one buyer to shift negotiations, which keeps overall buyer power weak across both the represented and direct advertising channels.

Low | Steady

Suppliers: Fragmented restaurant supply limits leverage over platforms

- Beyond the hardware vendors that supply the technology running these operations, restaurants are the industry's core supplier, since they prepare the food and beverages that consumers order through apps and takeout channels. Independent operators and single-location restaurants account for a large share of merchant listings, so no individual supplier controls enough menu supply to dictate commission rates or contract terms.
- Concentration among chain and fast-food brands stays low enough that platforms can substitute one merchant for another without meaningful gaps in coverage. Restaurants that exist on an app also lose access to consumers who already order through these platforms, further

weakening their negotiating position.

☆ Key Success Factors

How do successful businesses manage buyer & supplier power?

Develop a loyal customer base

Subscription programs like DashPass and Uber One lock in repeat orderers, which strengthens a platform's pitch to restaurants. Merchants can't easily walk away from the app that owns their most frequent customers.

Have a diverse range of clients

Spreading order volume across thousands of independent restaurants and major chains keeps any single merchant from dictating commission terms. Platforms that rely on a handful of large franchise partners hand those chains real leverage over rates.

Companies

Key Takeaways

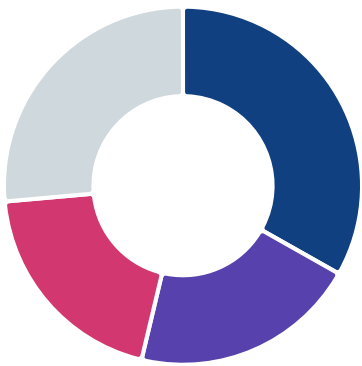
DoorDash set out its New York City compliance approach in December 2023. The company committed to paying Dashers at least $29.93 per hour of active time, to review earnings weekly and to top up any Dasher who fell short of that amount before tips.

Wonder bought Grubhub for $650.0 million in enterprise value. The November 2024 deal combined $500.0 million in senior notes with $150.0 million in cash, plus $250.0 million raised from new investors, and closed in the first quarter of 2025.

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue.



DoorDash, Inc. ($14.7bn) 33.2%
Wonder Group Inc. ($9.1bn) 20.6%
Uber ($8.8bn) 19.9%
Other Companies ($11.7bn) 26.3%

IBISWorld

Source: IBISWorld

This chart has been simplified for the PDF and may not display all available data. View the full interactive chart on my.ibisworld.com for additional data and detail.

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
DoorDash, Inc.	33.2	10,000+	28	Private	San Francisco, California
Wonder Group Inc.	20.6	1,000-5,000	140	Private	New York City, New York
Uber	19.9	10,000+	7	Public	San Francisco, California

Company Details

DoorDash, Inc.

Description

DoorDash is a technology and logistics company that operates a global commerce platform, providing logistics, delivery, and local commerce solutions for local businesses, Dashers, and consumers. The company manages a logistics platform and utilizes technologies such as AI and machine learning to support its operations. DoorDash serves markets in the United States, Australia, Brazil, Canada, Mexico, and New Zealand.

Company Total Revenue (2026)

$14.1bn

Industry Specific Revenue (2026)

$14.7bn

Industry Market Share (2026)

33.2%

Employees (2026)

10,000+

Headquarters

San Francisco, California

Company Type

Private

Locations (Top 10)

District Of Columbia

Other Industries

IT Consulting in the US

Couriers & Local Delivery Services in the US

Professional, Scientific & Technical Services in the US

A Full Locations list can be accessed in Atlas.

What's impacting DoorDash, Inc.'s performance?

NYC update shows DoorDash complying with a binding minimum pay rule

- New York City's Department of Consumer and Worker Protection adopted a minimum pay rule for app-based restaurant delivery workers under Local Law 115 of 2021, implemented through its "Minimum Pay for Food Delivery Workers" regulation. The rule requires platforms such as DoorDash to ensure that workers earn at least a specified hourly minimum (excluding tips) for time spent engaged in deliveries, with pay-rate steps that rise over time. DCWP materials describe phased increases, including higher minimum pay rates taking effect on April 1, 2024 and April 1, 2025, and subsequent adjustments.
- On December 2023, DoorDash explained how it would comply with this rule while continuing to operate in the city. In that update, DoorDash stated that Dashers delivering in NYC would "now earn at least 29.93 dollars per hour of active time," and that the company would review earnings weekly and top up any Dasher whose DoorDash pay alone fell below that threshold for their active hours, excluding tips. Because "active time" covers periods when Dashers are engaged in deliveries, and restaurant food orders are the primary use case, this commitment directly affects the labor cost of DoorDash-fulfilled restaurant delivery in NYC.

You can view and download more company details on my.ibisworld.com.

Wonder Group Inc.

Description

Wonder Group Inc. is a privately held, venture-capital-backed food technology corporation founded in 2018 and headquartered in New York, New York. The company operates a vertically integrated mealtime platform that combines company-owned food halls, in-house and licensed restaurant concepts, meal kits, food media, and third-party online ordering and delivery marketplaces within a single consumer application. Its portfolio includes the Grubhub, Blue Apron, Tastemade, and Spyce businesses. Wonder concentrates almost exclusively on the United States, with a physical footprint centered on eastern metropolitan markets, and pursues a technology-driven, expansion-oriented strategy financed largely through successive private equity rounds.

Company Type

Private

Company Total Revenue (2026)

$9.1bn

Industry Specific Revenue (2026)

$9.1bn

Industry Market Share (2026)

20.6%

Employees (2026)

1,000-5,000

Headquarters

New York City, New York

What's impacting Wonder Group Inc.'s performance?

Acquiring Grubhub secures nationwide logistics capacity and a merchant network

- Wonder announced in November 2024 that it was acquiring Grubhub from Eat Takeaway.com for an enterprise value of $650 million, comprising $500 million in senior notes and $150 million in cash, with completion expected in the first quarter of 2025 and an additional $250 million in capital raised exclusively from new investors.
- At the announcement, Wonder operated 28 locations in the Northeastern United States, with seven additional sites scheduled to open before year-end, making the transaction a decisive shift from a regional operator to a national platform. All Wonder locations were to be listed on Grubhub for third-party delivery. At the same time, a curated selection of Grubhub restaurant partners would appear inside the Wonder app alongside owned restaurants and meal kits. The company positions proprietary kitchen technology and sub-30-minute order-to-delivery times as its principal points of differentiation.
- The acquisition also brings institutional demand channels beyond consumer delivery, including campus dining at more than 360 universities, corporate meal programs for more than 10,000 companies and a subscription loyalty tier. For the industry, the structure marks a departure from pure intermediation: commission and logistics revenue increasingly underwrites captive first-party kitchens, tightening pressure on independent restaurants that depend on marketplaces solely for demand generation.

You can view and download more company details on my.ibisworld.com.

Uber

Description

Uber Technologies, Inc. is an American multinational transportation company engaged in ride-sharing, food delivery, and freight transportation. The company operates in over 60 countries, serving both individual riders and businesses. In addition to its core transportation services, Uber is involved in the development of autonomous vehicles and robotaxi services, and coordinates a global network of drivers and riders. The company is publicly traded and is a component of major stock market indices.

Company Total Revenue (2026)

$52.0bn

Industry Specific Revenue (2026)

$8.8bn

Industry Market Share (2026)

19.9%

Employees (2026)

10,000+

Headquarters

San Francisco, California

Company Type

Public

Locations (Top 10)

New York, New York

Other Industries

Couriers & Local Delivery Services in the US

Transportation & Warehousing in the US

Taxi & Limousine Services in the US

Ride-Sharing Services in the US

Long-Distance Freight Trucking in the US

A Full Locations list can be accessed in Atlas.

What's impacting Uber's performance?

Seattle's 2024 minimum-pay law prompts Uber Eats raising fees

- In early 2024, Seattle's App-Based Worker Minimum Payment ordinance took effect, setting a local minimum pay standard for app-based delivery workers on platforms such as Uber Eats, DoorDash and others. The law requires companies to pay the greater of: (a) a per-minute and per-mile minimum (about 0.44 dollars per minute and 0.74 dollars per mile), or (b) a minimum of 5 dollars per delivery offer, plus tips. HR and legal briefings describe this as a significant step toward ensuring that delivery workers earn at least the city's minimum wage equivalent after expenses, similar in spirit to New York's 2023 restaurant-delivery pay standard.
- In response, reporting in January 2024 notes that Uber Eats and other platforms raised customer fees on Seattle orders, warning that the law would increase costs and reduce demand for deliveries. Local coverage and commentary emphasize that Seattle residents started seeing higher delivery bills, with platforms explicitly linking fee hikes to the new ordinance, presenting this as a necessary adjustment to cover mandated higher courier pay. These communications amount to a de facto announcement that Uber Eats is passing some of the cost of 2024 wage-law compliance onto customers in at least one major US city, rather than redesigning delivery pay nationwide.

You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Drone operators, not delivery platforms, hold aviation certificates. DoorDash's service in Little Elm and Frisco relies on Flytrex aircraft flown under Causey Aviation Unmanned's Part 135 certificate, and DoorDash Labs didn't hold its own until July 2026.

The industry doesn't receive any form of government assistance. Many industry operators build strong partnerships with suppliers and network restaurants to expand their service offerings.

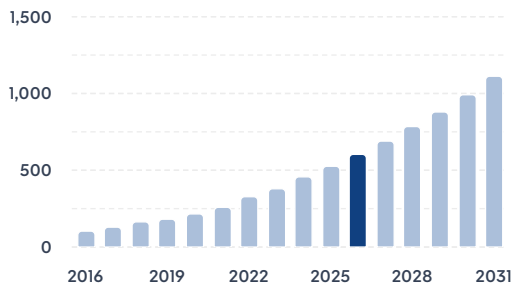
Regulation & Policy		Assistance	
High	Increasing	Low	Increasing

External Drivers

What demographic and macroeconomic factors impact the industry?

Internet traffic volume

Exabytes per month

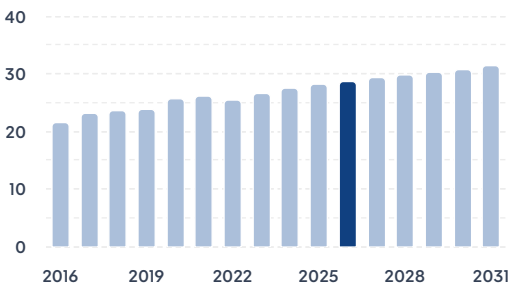


IBISWorld Source: IBISWorld

Internet traffic volume measures how much activity moves online, and rising volumes indicate that more restaurants and consumers transact through connected channels. That expands demand for the industry's online advertising, ordering interfaces and point-of-sale integrations, since these companies operate strictly through internet-based platforms. Falling traffic reflects weaker online engagement and more manual ordering, which narrows the addressable base for the industry's platform and advertising services.

Percentage of business conducted online

%

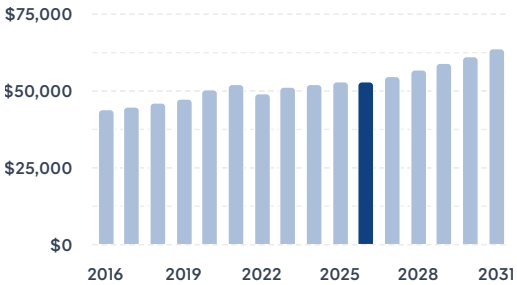


IBISWorld Source: IBISWorld

This driver tracks how much commercial activity runs through digital channels, including restaurant point-of-sale systems. A rising share indicates that operators connect their point-of-sale software to external platforms rather than keeping it siloed, which supports delivery app integrations and automated order routing. A falling share means more restaurants run on less connected systems, limiting their capacity to accept app-based orders and reducing the industry's merchant base.

Per capita disposable income

$

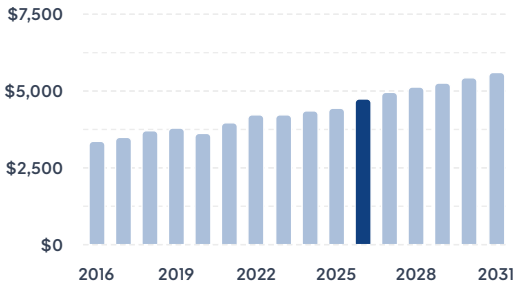


IBISWorld Source: IBISWorld

Per capita disposable income determines how much consumers can spend on discretionary purchases, such as restaurant meals, which make up the bulk of order volume. Rising income supports regular ordering and gives platforms room to pass through inflation-driven costs, add service fees and market paid subscriptions without losing users. Declining income prompts consumers to cut dining spending first, which pressures order frequency and revenue.

Aggregate private investment

$ billion

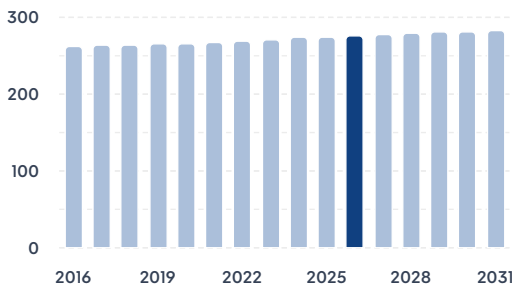


IBISWorld Source: IBISWorld

Aggregate private investment reflects whether restaurants and franchisees commit capital to opening additional locations. Growth in investment expands the number of outlets available for platform partnerships, which widens merchant coverage and adds deliverable order volume. Weaker investment slows or reverses new openings and can close existing sites, which shrinks the restaurant base that platforms depend on and limits domestic order growth.

Urban population

Million people



IBISWorld Source: IBISWorld

Urban population growth concentrates consumers within short delivery radii, thereby raising order density and lowering per-delivery costs for platforms. Denser markets also include restaurants that lack dine-in space or in-house drivers, so these operators outsource fulfillment to delivery apps to serve nearby demand. A shrinking urban population thins order volume across the same coverage area and reduces the need for third-party delivery support.

Regulation & Policy

High Increasing

What regulations impact the industry?

FAA Part 135 certification and beyond-visual-line-of-sight waivers for drone delivery

Federal aviation rules govern the industry's autonomous layer indirectly, since they don't apply to the platforms themselves. Commercial drone delivery requires Part 135 air carrier certification, and the certificate holders are aviation operators – Wing, UPS Flight Forward, Amazon Prime Air, Zipline, Causey Aviation Unmanned, DroneUp and Drone Express – rather than the food delivery services. That structure explains why DoorDash's drone service in Little Elm and Frisco relies on Flytrex aircraft flown under Causey's certificate and why DoorDash Labs didn't secure its own certification until July 2026. Beyond-visual-line-of-sight authorization is a separate constraint, granted on a case-by-case basis

through FAA waivers. Standardized BVLOS rules are in development and expected in 2026–2027, and that timeline currently determines how far these operations can scale.

App-based courier pay floors and New York City's tipping amendments

Courier pay floors now operate in two major markets. Seattle's App-Based Worker Minimum Payment Ordinance took effect in January 2024 and requires employers to pay couriers under a per-offer formula that covers time and mileage. New York City's standard reached $21.44 an hour before tips in April 2025, phased up from $17.96 at the end of 2023. Platforms like DoorDash and Uber Eats didn't absorb the increase, instead shifting cost onto consumers and merchants through new regulatory fees and redesigned checkout flows. Regulators in NYC later found that some apps hid tip options until after checkout, which suppressed courier earnings above the pay floor. Amendments effective in 2026 require platforms to offer tipping before checkout or at checkout, adding a second layer of payment regulation in the city.

Assistance

Low | Increasing

What assistance is available to this industry?

Government

Public support doesn't apply to the industry

The Food Delivery Services industry doesn't receive any public sector support.

Non-government

Private support doesn't apply to the industry

The Food Delivery Services industry doesn't receive any private sector support.

Financial Benchmarks

Key Takeaways

Fee pricing power drives profit gains. Looser commission caps and added consumer fees let platforms pass costs downstream, while advertising sales, which carry almost no incremental cost, push profit's revenue share higher through 2026.

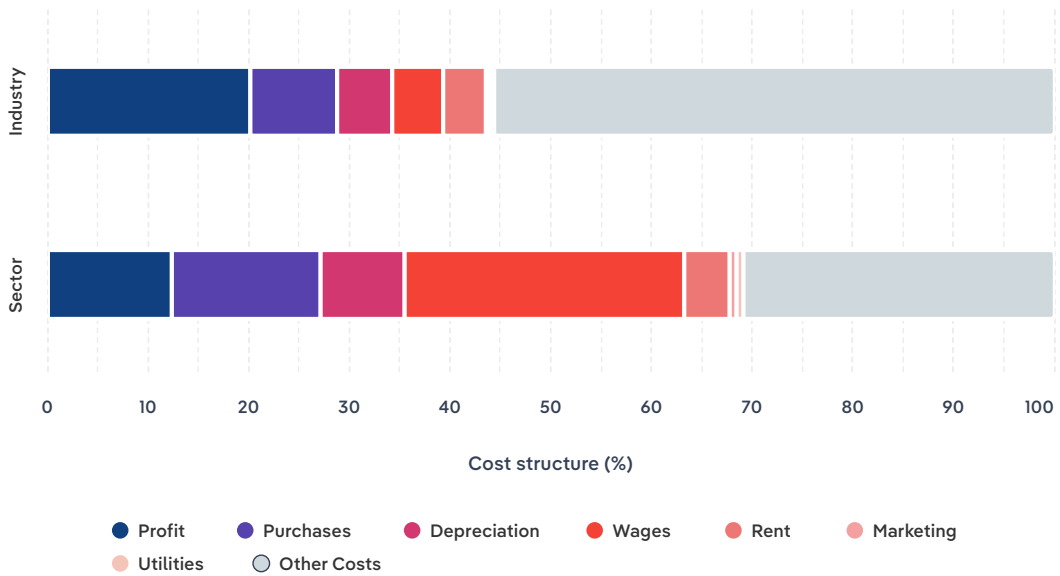
The industry's biggest cost inputs never hit its books. Couriers supply their own vehicles and restaurants supply the food, so neither depreciable rolling stock nor cost of goods enters the expense base.

Profit Margin	Average Wage	Largest Cost
20.2% ↑ Higher than sector	$108.6k ↓ Lower than sector	Purchases 8.6% of Revenue

Cost Structure

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2026



IBISWorld

Source: IBISWorld

What trends impact industry costs?

Commission increases and advertising sales lift profit's share of revenue

- Profit climbs as a share of revenue through 2026, supported by rising demand and looser fee-cap regulations that allow platforms to raise the commissions they charge restaurants per order. Added consumer-facing fees reinforce that pricing power. The producer price index for courier, messenger and US postal services grew at a CAGR of 11.1% from 2021 through 2026, reflecting how much of the cost climb these companies pass downstream rather than absorb.

- Advertising sales widen profit further, since sponsored placements carry minimal incremental cost. DoorDash CEO Tony Xu said on the company's Q3 2025 earnings call that advertiser demand outpaced available inventory, with brands allocating additional budget to the platform. That imbalance supports pricing ad space and channels at high-margin rates, straight into profit.

Software spending caps hold purchase costs at a moderate revenue share

- Purchase costs cover the physical input platforms bought rather than resold: merchant-facing hardware such as order tablets, printers and card readers; insulated carrying bags and other courier kit; packaging and consumables for support sites; and IT equipment. The share stays moderate because platforms equip and re-equip merchant networks numbering in the hundreds of thousands while buying no food. Meals are transacted between the consumer and the restaurant with the platform acting as the agent, so the value of delivered goods never enters the cost base.
- Purchase costs fell as a share of revenue over the period. Uber announced in 2026 that it would cap monthly per-employee spending on agentic coding tools, granting exceptions by permission, after exceeding prior AI budgets. That approach restrains software procurement spending industry-wide.

Short software useful lives push depreciation higher as a revenue share

- Depreciation and amortization cover capitalized internally developed software, servers and network equipment, leasehold improvements on offices and support sites and a growing volume of acquisition-related intangibles such as consumer lists and technology platforms. The share lands at a moderate level because the platform itself is a genuine capital asset that is built and written down over the years, while the delivery fleet stays off-balance-sheet. Couriers supply their own vehicles, so the industry never accumulates the depreciable rolling stock a traditional carrier holds.
- Short asset lives drive the cost upward. DoorDash assigns a two-year useful life to capitalized software and website development, which concentrates write-downs into a narrow window and lifts annual charges as development spending continues. That schedule raises depreciation's revenue share going forward.

AI-driven headcount restraint lowers wages as a revenue share

- Wage costs cover salaried staff only: engineers, product teams, merchant sales, corporate support and market operations managers, plus payroll taxes and benefits. Courier earnings fall outside this line, since couriers work as independent contractors and their pay is tied to order fulfillment. That structure keeps wages a moderate share of revenue because platforms employ a concentrated technical workforce in high-cost metros, while the labor performing the actual delivery never enters payroll.
- Automation tempers headcount growth. Uber CEO Dara Khosrowshahi said in a 2026 interview that AI tools let the company meter hiring over the long run. Uber's 2025 annual report projected declining operations and support costs as efficiency improves, indicating that these tools already materially affect compensation spending.

Long-term fixed leases keep rent steady as a revenue share

- Rent covers operating lease payments for corporate headquarters, regional offices and support and dispatch sites, recognized as right-of-use assets and recognized as straight-line rent expense, alongside smaller equipment and vehicle leases. The share is moderate because leasing serves as a substitute for property ownership across the industry. Platforms run no restaurants, depots or branch networks, though they still need engineering, sales and support space in expensive metros, which keeps the commitment real but confined to office footprints.
- Fixed long-term agreements hold this cost flat as a revenue share. Uber operates from Mission Bay offices under leases fixed through 2032, which lock in predictable annual payments. That structure shields the industry from inflation-driven rent increases and prevents occupancy costs from outpacing revenue growth.

Energy-efficient office buildouts reduce utilities' revenue share

- Utilities cover electricity, gas, water and connectivity at leased corporate offices and the support and dispatch sites operators run. Utility costs remain low because the industry owns almost no energy-consuming assets, with no kitchens, walk-in refrigeration, dining rooms or vehicle depots on the books. The computer that runs each platform is purchased as cloud capacity and billed as a technology contract rather than as metered power on the operator's own account.
- Efficient building design further lowers this share. Uber opened its Mission Bay headquarters in 2021 with an ALFA-modeled design projected to cut energy use by 25.0%, equal to 1.1 kWh annually. Savings of that kind spread across a growing revenue base, so utilities' share of costs declines.

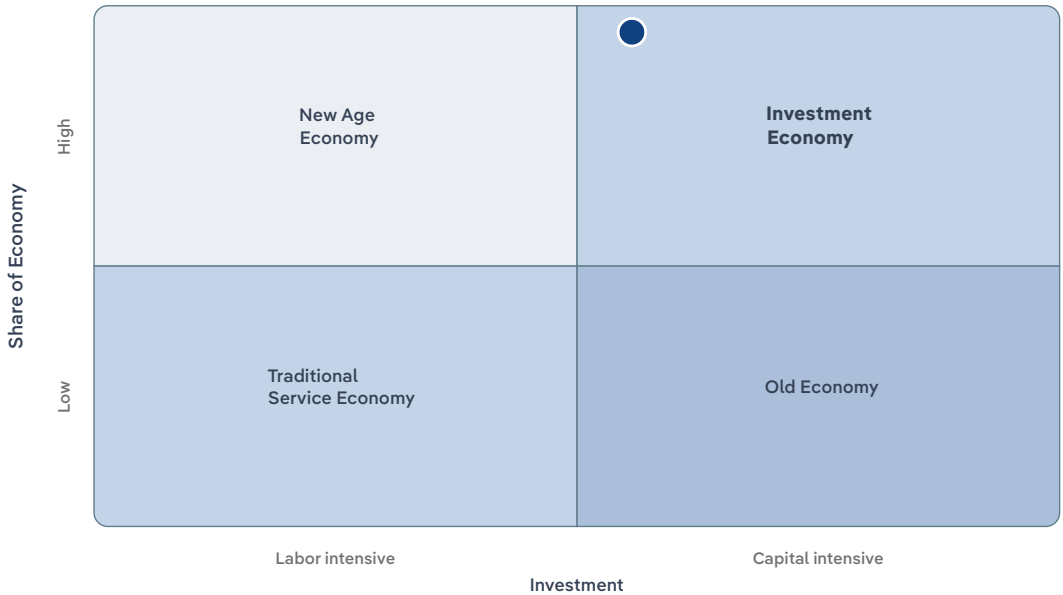
Brand campaign spending lifts marketing off its 2021 recruitment-driven baseline

- Marketing covers what operators spend to stay visible: paid search and social placements, app-store bidding, television and out-of-home campaigns, sponsorships, email and push messaging and the salaries of the staff running them. The line remains the lowest-cost long-term because almost none of it is fixed. Platforms buy media in flights, cut it at will and run these programs with lean teams, which keeps the revenue share low and flexible.
- Spending ran higher in 2021 than in later years, driven by courier recruitment. DoorDash launched out-of-home campaigns in cities such as Washington, D.C. and San Francisco to sign Dashers. The share climbs again as platforms expand brand advertising, with DoorDash retaining

entertainment agency WME for Hollywood talent representation to scale content production.

Investment Economy

Share of economy vs. Investment



IBISWorld

Source: IBISWorld

Financial Ratios

Days' Receivables	Interest Coverage	Debt/Net Worth
46.7 ↑ Higher than sector	2.3 ↓ Lower than sector	2.9 ↓ Lower than sector

Earnings Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	5.9	1.4	13.3	11.5	19.0	14.6	10.2	7.4
EBITDA/Revenue	8.8	7.8	15.6	16.7	26.9	19.7	15.2	11.2
Leverage Ratio	11.3	12.9	6.4	6.0	3.4	5.3	8.0	13.6

Income Statement

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Advertising	1.7	0.1	2.4	3.4	2.2	2.7	2.0	1.6
Amortization	0.9	0.8	1.4	2.3	5.7	3.1	2.2	1.4
Bad debts	0.1	0.1	1.1	0.2	0.1	0.5	0.3	0.3
Business receipts	94.1	55.3	93.7	96.3	98.4	96.1	87.6	91.2

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Charitable contributions	0.1	0.2	0.1	0.2	0.2	0.2	0.2	0.1
Compensation of officers	2.6	3.4	1.8	1.1	10.7	4.5	3.9	3.2
Cost of goods	46.2	48.3	42.7	34.7	22.9	33.4	39.0	43.5
Depletion	0.3	2.4	0.0	0.0	0.6	0.2	0.7	0.6
Depreciation	1.7	3.1	0.8	2.9	1.6	1.8	2.0	1.7
Dividends, domestic corporations	0.2	3.0	0.1	0.0	0.0	0.0	0.7	0.3
Employee benefit programs	2.5	2.3	1.7	2.4	3.5	2.5	2.5	2.4
Expenses	46.2	48.3	42.7	34.7	22.9	33.4	39.0	43.5
Gross Profit	53.8	51.7	57.3	65.3	77.1	66.6	61.0	56.5
Interest Income	0.4	1.7	0.7	0.7	0.5	0.6	0.8	0.6
Interest Paid	1.1	0.3	1.8	4.3	8.3	4.8	3.2	1.9
Net gain, noncapital assets	0.5	4.6	1.1	0.2	0.0	0.4	1.3	0.9
Net Income	3.4	0.1	8.9	4.1	8.6	7.2	5.0	3.5
Net L-T cap gain less net ST loss	1.4	2.0	0.3	0.6	0.2	0.4	0.9	0.7
Net loss, noncapital assets	0.4	2.5	0.8	1.1	0.7	0.9	1.1	0.9
Net S-T cap gain less net LT loss	0.0	0.0	0.4	0.5	0.1	0.3	0.2	0.1
Other deductions	20.2	23.0	17.9	17.9	16.2	17.3	19.0	20.5
Other receipts	1.6	6.4	1.6	0.5	0.2	0.8	2.1	1.9
Pension, profit sharing plans, stock, annuity	1.0	1.5	0.4	1.8	3.2	1.8	1.6	1.3
Rent Income	1.1	13.8	0.9	0.5	0.1	0.5	3.3	2.4
Rent paid	3.1	2.0	2.7	3.3	2.3	2.8	2.7	2.8
Repairs	0.2	0.7	1.3	2.1	0.8	1.4	1.0	0.8
Royalties	0.8	13.4	1.1	0.9	0.5	0.9	3.3	2.0
Salaries and wages	12.8	7.6	11.7	15.2	10.3	12.4	11.5	11.4
Sales/Fixed Assets	1.5	1.7	1.8	1.5	1.7	1.7	1.6	1.4
Taxes paid	1.4	1.0	2.6	3.1	2.2	2.6	2.1	2.0
Total Revenue	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Balance Sheet

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Accounts payable	6.1	3.2	3.3	6.4	8.2	6.0	5.5	5.8
Accumulated amortization	1.7	1.6	1.4	3.4	2.6	2.5	2.2	3.3
Accumulated depletion	0.2	0.5	1.7	1.8	1.2	1.6	1.1	0.8
Accumulated depreciation	19.0	14.7	8.6	14.2	15.8	12.8	14.4	17.0
Additional paid-in capital	19.9	21.0	51.8	50.3	31.9	44.7	35.0	27.8

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Allowance for bad debts	0.2	0.5	0.2	0.8	0.8	0.6	0.5	0.3
Capital stock	6.7	8.8	12.7	12.2	6.1	10.3	9.3	7.4
Cash and Equivalents	7.5	2.5	3.7	7.0	6.3	5.7	5.4	6.7
Cost of treasury stock	12.5	23.9	12.3	9.6	10.7	10.9	13.8	13.3
Current Assets	33.1	27.6	24.9	30.2	34.8	30.0	30.1	30.3
Current Liabilities	21.6	30.4	11.0	23.5	25.8	20.1	22.5	19.9
Depletable assets	0.9	1.0	2.3	5.2	3.7	3.7	2.6	1.8
Government Obligations	1.5	0.3	1.1	2.0	1.4	1.5	1.2	1.2
Intangible assets (Amortizable)	20.5	17.8	24.0	11.5	11.5	15.6	17.0	21.0
Inventories	5.8	1.7	2.0	3.2	7.1	4.1	4.0	4.2
Land	2.7	8.3	3.9	6.5	5.0	5.1	5.3	4.1
Loans from shareholders	3.4	1.8	2.7	6.2	4.7	4.5	3.7	3.4
Loans to shareholders	1.2	2.1	1.0	1.4	1.3	1.2	1.4	1.8
Mort, notes, and bonds under 1 yr	5.5	19.1	0.9	5.6	7.5	4.7	7.7	6.3
Mort, notes, bonds, 1 yr or more	20.6	37.7	12.1	20.1	26.1	19.4	23.3	25.7
Mortgage and real estate loans	3.3	3.5	0.9	2.7	4.3	2.6	2.9	3.1
Net worth	39.9	22.7	62.1	43.1	34.3	46.5	40.5	41.0
Notes and accounts receivable	13.7	8.7	11.2	10.7	12.8	11.6	11.4	11.4
Other assets	3.8	9.1	3.5	6.7	7.0	5.7	6.0	5.4
Other current assets	3.4	13.4	4.7	4.6	5.2	4.8	6.3	5.3
Other current liabilities	10.0	8.1	6.8	11.5	10.1	9.5	9.3	7.9
Other investments	32.3	32.4	38.0	33.8	27.2	33.0	32.8	31.7
Other liabilities	14.5	7.4	12.1	7.2	9.1	9.5	10.1	9.9
Property, Plant and Equipment	23.6	16.0	13.8	23.1	26.5	21.1	20.6	22.4
Retained earnings, appropriated	4.5	3.5	1.5	-8.3	-4.1	-3.6	-0.6	0.8
Retained earnings-unappropriated	21.5	13.3	8.4	-1.5	11.1	6.0	10.6	18.3
Tax Exempt Securities	0.9	0.6	1.9	1.9	1.3	1.7	1.3	1.2
Total assets	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Total liabilities	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Liquidity Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Current Ratio	1.5	0.9	2.3	1.3	1.4	1.6	1.5	1.6

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Days' Inventory	46.1	13.2	17.3	34.1	102.2	51.2	42.6	42.9
Days' Payables	48.5	23.9	28.6	67.6	118.3	71.5	57.4	59.2
Days' Receivables	50.2	31.9	40.9	39.0	46.7	42.2	41.7	47.3
Inventory Turnover	7.9	27.8	21.1	10.7	3.6	11.8	14.2	12.9
Payables Turnover	7.5	15.3	12.8	5.4	3.1	7.1	8.8	7.6
Quick Ratio	1.3	0.9	2.1	1.2	1.1	1.4	1.3	1.4
Sales/Receivables	7.3	11.5	8.9	9.4	7.8	8.7	9.0	8.0
Sales/Working Capital	8.2	-19.9	6.8	14.4	9.9	10.3	3.9	4.9

Coverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt Service Coverage Ratio	1.6	0.4	0.4	1.2	3.8	1.8	1.5	1.4
Interest Coverage	5.3	4.4	7.3	2.7	2.3	4.1	4.4	7.4

Leverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt/Net Worth	2.5	4.4	1.6	2.3	2.9	2.3	2.8	2.7
Fixed Assets/Net Worth	1.7	2.6	0.9	1.5	1.9	1.5	1.7	1.9
Tangible Net Worth	39.9	22.7	62.1	43.1	34.3	46.5	40.5	41.0

Operating Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	5.9	1.4	13.3	11.5	19.0	14.6	10.2	7.4
EBITDA/Revenue	8.8	7.8	15.6	16.7	26.9	19.7	15.2	11.2
Return on Assets, %	5.9	1.4	13.3	11.5	19.0	14.6	10.2	6.9
Sales/Total Assets	1.0	1.0	1.0	1.0	1.0	1.0	1.0	0.9

Cash Flow & Debt Service Ratios (% of sales)

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Cash after Operations	35.9	27.8	35.1	40.2	50.5	41.9	37.9	35.1
Cash from Trading	55.3	53.7	56.8	60.5	75.5	64.3	60.4	56.1
Debt Service P&I Coverage	3.7	1.3	6.3	2.7	3.0	4.0	3.4	3.4
Interest Coverage (Operating Cash)	32.6	85.7	18.6	8.4	6.3	11.1	30.3	48.9
Net Cash after Operations	36.2	27.4	34.1	36.1	52.3	40.8	37.2	34.2

Industry Tax Structure

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Taxes Paid/Revenue	1.4	1.0	2.6	3.1	2.2	2.6	2.1	2.0

Key Ratios

Year	Revenue per Employee ($k)	Revenue per Enterprise ($m)	Employees per Establishment (Units)	Employees per Enterprise (Units)	Average Wage ($k)	Wages/ Revenue (%)	Establishments per Enterprise (Units)	IVA/Revenue (%)
2010	237.1	2.2	9.3	9.3	64.9	27.4	1.0	33.0
2011	325.2	13.5	41.5	41.5	83.7	25.7	1.0	30.9
2012	612.4	18.0	29.4	29.4	150.6	24.6	1.0	30.2
2013	413.7	26.2	63.3	63.3	97.5	23.6	1.0	29.6
2014	441.5	53.6	121.5	121.5	97.9	22.2	1.0	23.3
2015	380.4	86.6	227.6	227.6	78.4	20.6	1.0	18.1
2016	341.8	204.1	597.0	597.0	64.7	18.9	1.0	19.1
2017	318.5	221.3	579.2	695.0	54.2	17.0	1.2	21.8
2018	304.6	209.8	688.9	688.9	39.6	13.0	1.0	-17.2
2019	693.6	389.8	505.8	562.0	111.0	16.0	1.1	-23.6
2020	1,562.5	872.4	558.3	558.3	250.0	16.0	1.0	19.0
2021	2,637.4	1,200.2	404.5	455.1	290.1	11.0	1.1	15.1
2022	2,058.0	1,079.7	524.6	524.6	164.6	8.0	1.0	18.9
2023	2,185.4	870.1	364.0	398.2	153.0	7.0	1.1	26.0
2024	2,148.9	893.7	383.9	415.9	128.9	6.0	1.1	29.1
2025	2,179.7	952.1	407.7	436.8	109.0	5.0	1.1	30.9
2026	2,144.5	942.8	421.7	439.7	108.6	5.1	1.0	30.7
2027	2,102.5	955.5	437.3	454.4	108.2	5.2	1.0	30.2
2028	2,070.3	970.5	460.4	468.8	107.9	5.2	1.0	29.9
2029	2,036.9	987.0	476.5	484.5	107.5	5.3	1.0	30.0
2030	2,028.0	1,005.6	488.1	495.8	107.4	5.3	1.0	29.9
2031	2,021.2	1,026.1	507.7	507.7	107.4	5.3	1.0	29.8
2032	2,020.6	1,068.3	528.7	528.7	107.4	5.3	1.0	29.8

Key Statistics

Industry Data

Values

Year	Revenue ($m)	IVA ($m)	Establishments (Units)	Enterprises (Units)	Employment (Units)	Wages ($m)
2010	15.4	5.1	7	7	65	4.2
2011	108.0	33.3	8	8	332	27.8
2012	143.9	43.5	8	8	235	35.4
2013	235.8	69.7	9	9	570	55.6
2014	429.1	100.0	8	8	972	95.1
2015	606.0	109.7	7	7	1,593	124.8
2016	816.3	155.5	4	4	2,388	154.4
2017	1,106.7	241.4	6	5	3,475	188.2
2018	1,468.7	-252.1	7	7	4,822	191.0
2019	3,508.1	-828.2	10	9	5,058	561.3
2020	10,468.6	1,984.9	12	12	6,700	1,675.0
2021	19,202.6	2,893.2	18	16	7,281	2,112.3
2022	23,752.9	4,483.2	22	22	11,542	1,900.3
2023	27,844.5	7,227.1	35	32	12,741	1,949.1
2024	32,174.8	9,355.8	39	36	14,973	1,930.5
2025	39,988.3	12,368.5	45	42	18,346	1,999.4
2026	44,313.5	13,580.6	49	47	20,664	2,244.7
2027	48,728.5	14,736.8	53	51	23,176	2,507.7
2028	53,375.6	15,969.7	56	55	25,781	2,781.1
2029	58,230.3	17,461.5	60	59	28,588	3,073.9
2030	63,350.1	18,945.9	64	63	31,237	3,355.8
2031	68,750.4	20,483.1	67	67	34,015	3,651.8
2032	74,783.5	22,288.3	70	70	37,011	3,973.2

Annual Change

Year	Revenue (%)	IVA (%)	Establishments (%)	Enterprises (%)	Employment (%)	Wages (%)
2011	600.6	555.0	14.3	14.3	410.8	558.8
2012	33.3	30.5	0.0	0.0	-29.2	27.4
2013	63.9	60.3	12.5	12.5	142.6	57.0
2014	82.0	43.5	-11.1	-11.1	70.5	71.3
2015	41.2	9.7	-12.5	-12.5	63.9	31.2
2016	34.7	41.8	-42.9	-42.9	49.9	23.7
2017	35.6	55.2	50.0	25.0	45.5	21.9
2018	32.7	N/A	16.7	40.0	38.8	1.5
2019	138.9	228.5	42.9	28.6	4.9	193.9
2020	198.4	N/A	20.0	33.3	32.5	198.4
2021	83.4	45.8	50.0	33.3	8.7	26.1
2022	23.7	55.0	22.2	37.5	58.5	-10.0
2023	17.2	61.2	59.1	45.5	10.4	2.6
2024	15.6	29.5	11.4	12.5	17.5	-1.0
2025	24.3	32.2	15.4	16.7	22.5	3.6
2026	10.8	9.8	8.9	11.9	12.6	12.3
2027	10.0	8.5	8.2	8.5	12.2	11.7
2028	9.5	8.4	5.7	7.8	11.2	10.9
2029	9.1	9.3	7.1	7.3	10.9	10.5
2030	8.8	8.5	6.7	6.8	9.3	9.2
2031	8.5	8.1	4.7	6.3	8.9	8.8
2032	8.8	8.8	4.5	4.5	8.8	8.8

Figures are inflation adjusted to 2026-2027

Key Success Factors

Key Success Factors

How do successful businesses overcome volatility?

Raise revenue from additional sources

Order volume swings with consumer spending, so advertising, restaurant software and subscription fees smooth the ride. Uber's roughly $2.0 billion advertising line doesn't move with meal demand the way commissions do.

Secure a flexible workforce

Independent-contractor couriers scale up and down with demand, so platforms don't carry idle labor during slow weeks. That structure keeps fulfillment costs variable when order volume drops unexpectedly.

What products or services do successful businesses offer?

Develop sophisticated computer technologies

Routing algorithms, demand forecasting and point-of-sale integrations determine delivery times and merchant retention. Platforms that invest here move more orders per driver hour, which shows up directly in profit and repeat use.

Provide a related range of goods and/or services

Advertising, restaurant software, reservations and a drone fulfillment layer add new revenue to the same order flow. DoorDash's acquisition of SevenRooms shows how adjacent services deepen merchant relationships beyond commission-based delivery.

How do businesses use location to their advantage?

Operate in a location that is close to key markets

Dense metros put restaurants and consumers within short delivery radii, which cuts courier time per order. Platforms also site offices in cities like Dallas and Miami to sit closer to the markets they serve.

Operate in states where regulations are more favorable to the industry

Texas and Florida impose lighter tax and labor requirements than California or New York, and Texas permits extensive drone testing. Those conditions shape where platforms expand offices and pilot new fulfillment methods.

How do successful businesses handle concentration?

Develop a clear market position

With a few platforms offering broadly similar service, players that stake out a specific niche hold ground better. Grubhub's campus dining focus shows how a defined position keeps a smaller platform relevant against larger rivals.

Secure economies of scale

DoorDash and Uber Eats spread fixed technology and driver-network costs across enormous order volume, which drops their cost per delivery. Smaller platforms carry similar overhead on far fewer orders, so scale largely determines who stays profitable.

How can potential entrants overcome barriers to entry?

Ensure accessibility to consumers and end-users

New platforms need both a merchant roster that consumers recognize and enough drivers to hit competitive delivery times. Building both sides at once in a single city determines whether an entrant gains traction.

Secure economies of scale

Entrants face the same fixed technology and driver-acquisition costs as DoorDash and Uber Eats, but spread them across far fewer orders. Scale in a launch market brings per-order delivery costs down to a workable level.

How do successful businesses compete with substitutes?

Develop a loyal customer base

Choosing substitutes like restaurant pickup or cooking at home costs consumers nothing. Subscription perks and habit-forming ordering flows keep users in the app rather than driving to the counter.

Offer a competitively priced product

Delivery fees, service charges and menu markups decide whether ordering in beats picking up. Keeping the total cost close to counter prices removes the main reason consumers switch to substitutes.

How do successful businesses manage buyer & supplier power?

Develop a loyal customer base

Subscription programs like DashPass and Uber One lock in repeat orderers, which strengthens a platform's pitch to restaurants. Merchants can't easily walk away from the app that owns their most frequent customers.

Have a diverse range of clients

Spreading order volume across thousands of independent restaurants and major chains keeps any single merchant from dictating commission terms. Platforms that rely on a handful of large franchise partners hand those chains real leverage over rates.

Call Preparation Questions

External Impacts Questions

The percentage of business conducted online represents the increasing use of the internet by consumers and businesses for services they historically demanded in person. When consumers are more comfortable using e-commerce platforms, demand for delivery services rises as industry operators generate revenue through online orders. In 2021, the percentage of business conducted online is expected to decline, posing a potential threat to the industry.

When income rises, individuals are more willing to splurge on food outside the home, especially food delivery since this service comes at additional charges. In 2021, per capita disposable income is expected to increase, representing a potential opportunity for industry operators.

Internal Issues Questions

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IBISWorld helps you find the industry information you need - fast.

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